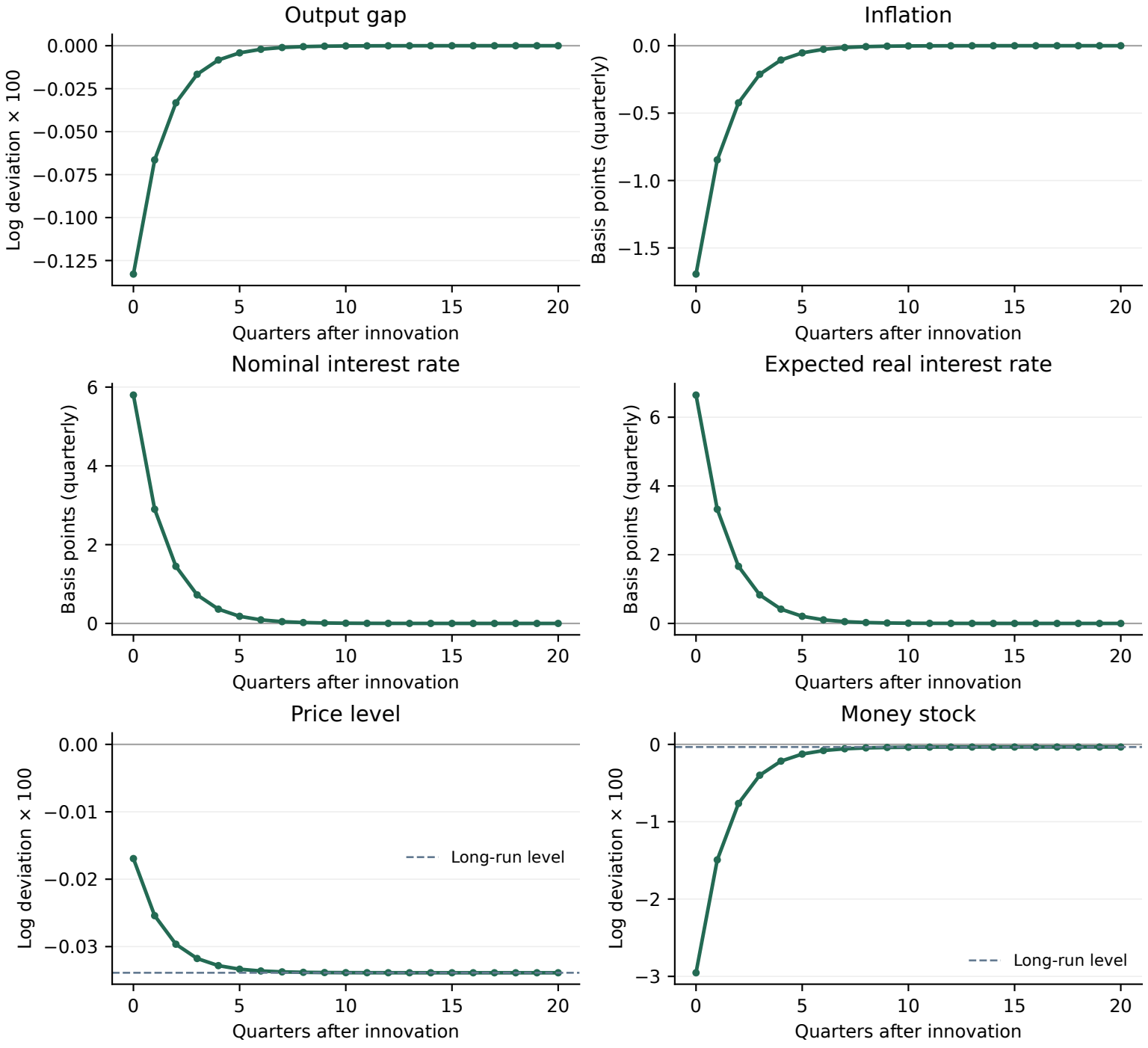
Output gap
Log deviation × 100
0.000
−0.025
−0.050
−0.075
−0.100
−0.125
0
5
10
15
20
Quarters after innovation
Inflation
Basis points (quarterly)
0.0
−0.5
−1.0
−1.5
0
5
10
15
20
Quarters after innovation
Nominal interest rate
Basis points (quarterly)
6
4
2
0
0
5
10
15
20
Quarters after innovation
Expected real interest rate
Basis points (quarterly)
6
4
2
0
0
5
10
15
20
Quarters after innovation
Price level
Log deviation × 100
0.00
−0.01
−0.02
−0.03
Long-run level
0
5
10
15
20
Quarters after innovation
Money stock
Log deviation × 100
0
−1
−2
−3
Long-run level
0
5
10
15
20
Quarters after innovation